

VERSION NO. 1	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 6.04
	DOCUMENT NAME BANK RECONCILIATION	REVISION NO. 0
		EFFECTIVITY DATE SEPTEMBER 2, 2019
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1.0 OBJECTIVES

- 1.1 To check the correctness of both the bank's and University's records.
- 1.2 To serve as a deterrent to fraud.
- 1.3 To enable the University or bank to take up charges or credits recognized by the bank or University but not yet known to the University or bank.

2.0 SCOPE

These procedures apply to all necessary preparations of the University's Bank Reconciliation Statements.

3.0 POLICIES

- 3.1 Any records which may contain personal information shall be handled in accordance with Republic Act 10173 or the Data Privacy Act of 2012.
- 3.2 Any request for information shall be governed by Executive Order No. 02, series of 2016 or the Freedom of Information.
- 3.3 The University shall prepare Bank Reconciliation Statement (BRS) to the following bank and treasury accounts maintained on its government servicing banks and as included in the Inventory of Bank Accounts reported to the Bureau of Treasury per DOF-DBM-COA Joint Administrative Order No. 2012-01 dated January 6, 2019:

No.	Cash Account Title	Account Name	Account Number	Bank/ Branch
1	Cash-Modified Disbursement System (MDS), Regular	Leyte Normal University	2-00004-775-3	Development Bank of the Philippines, Tacloban City
2	Cash-Modified Disbursement System (MDS), Regular	Leyte Normal University	2-00029-775-6	Development Bank of the Philippines, Tacloban City
3	Cash in Bank, Local Currency, Current Account	Leyte Normal University	0182-1014-78	Landbank of the Philippines, Tacloban City, Sagkahan Branch

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No.	Cash Account Title	Account Name	Account Number	Bank/ Branch
4	Cash in Bank, Local Currency, Current Account	Leyte Normal University	0182-1029-54	Landbank of the Philippines, Tacloban City, Sagkahan Branch
5	Cash in Bank, Local Currency, Current Account	Leyte Normal University	0182-4006-53	Landbank of the Philippines, Tacloban City, Sagkahan Branch
6	Cash in Bank, Local Currency, Current Account	Leyte Normal University	1732-1075-13	Landbank of the Philippines, Tacloban City, Real Branch
7	Cash in Bank, Local Currency, Current Account	Leyte Normal University	0182-1020-16	Landbank of the Philippines, Tacloban City, Sagkahan Branch
8	Cash in Bank, Local Currency, Current Account	Leyte Normal University	0775-017434-030	Development Bank of the Philippines, Tacloban City
9	Cash in Bank, Local Currency, Current Account	Leyte Normal University	0775-017453-030	Development Bank of the Philippines, Tacloban City
10	Cash in Bank, Local Currency, Current Account	Leyte Normal University	0775-017414-030	Development Bank of the Philippines, Tacloban City
11	Cash in Bank, Local Currency, Current Account	Leyte Normal University	0775-0174330-080	Development Bank of the Philippines, Tacloban City

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No.	Cash Account Title	Account Name	Account Number	Bank/ Branch
12	Cash in Bank, Local Currency, Savings Account	Leyte Normal University	0181-2072-48	Landbank of the Philippines, Tacloban City, Sagkahan Branch
13	Cash in Bank, Local Currency, Savings Account	Leyte Normal University	5-37490-775-80	Development Bank of the Philippines, Tacloban City
14	Cash in Bank, Local Currency, Time Deposit	Leyte Normal University	2515-90378-1	Philippine Veteran's Bank, Tacloban City

3.4 Method of Bank Reconciliation

3.4.1 The monthly BRS shall be prepared for each of the bank accounts maintained by the agency/entity using the Adjusted Balance Method. Under this method, the book balance and the bank balance are brought to an adjusted cash balance that must appear on the Statement of Financial Position.

3.5 Preparation of the Bank Reconciliation Statement

3.5.1 Within ten days from receipt of the monthly Bank Statement (BS) together with the paid checks, original copies of Debit Memoranda (DM)/Credit Memoranda (CM) from the Government Servicing Bank, BS must be reconciled with the General Ledger (GL) and the Bank Reconciliation Statement (BRS) shall be prepared in four copies.

3.6 Recognition of Adjustments

3.6.1 JEV shall be prepared to recognize all reconciling items that require adjustment and correction in the books of accounts.

3.7 Reporting

3.7.1 Within twenty days after receipt of the monthly BS, submit the BRS to the following:

Original – COA Auditor (with all the supporting documents and JEVs)
Copy 2 – Head of Agency/Entity
Copy 3 – Accounting Division/Unit file
Copy 4 – Bank, if necessary

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4.0 PROCEDURES

4.1 Preparation of the Bank Reconciliation Statement for “Cash-Modified Disbursement System (MDS)” accounts tranche

Responsibility	Activity
Accounting Staff-3	1. Secures/gathers the monthly Bank Statement (BS), General Ledger (GL) and Subsidiary Ledgers (SLs) of accounts “Cash-Modified Disbursement System (MDS), Regular, “Cash-Modified Disbursement System (MDS), Trust” and previous month’s BRS. 2. Ensures that the unadjusted ending book and bank balances per previous month’s BRS are the current month’s beginning book and bank balances, respectively. 3. Reviews the previous month’s BRS to determine reconciling items needing adjustments by the University which remain unadjusted. 4. Lists or marks the previous months’ unadjusted items for inclusion in the current month’s reconciling items. 5. Compares the NCAs recognized in the books with those reflected in the bank statements to determine the unrecognized, lapsed or unused NCA and/or any errors. 6. Compares the checks/ADAs recognized in the books with those in the bank statements. 7. Adds to the unadjusted balance per bank the following: (a) NCAs received by the University but not yet recognized by the bank; and (b) errors discovered in the BS that understates the cash balance. 8. Subtracts from the unadjusted balance per bank the following: (a) NCAs which are no longer valid/lapsed NCA; (b) outstanding checks; (c) outstanding ADA; 9. and (d) errors in the BS that overstates the cash balance.
	10. Calculates the correct/adjusted balance per bank. 11. Adds to the unadjusted balances of accounts “Cash Modified Disbursement System (MDS), Regular and “Cash-Modified Disbursement System (MDS), Trust” the following: (a) NCAs received but not yet recognized by the University; (b) cancelled checks; and (c) errors discovered in the University ‘s records

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	that understates the cash balance. 12. Subtracts from the unadjusted balances of accounts "Cash-Modified Disbursement System (MDS), Regular", and "Cash-Modified Disbursement System (MDS), Trust" the following: (a) lapsed NCA not yet adjusted by the University; (b) errors in the University's records that overstate the cash balance; and (c) bank charges. 13. Calculates the adjusted balances of accounts "Cash- Modified Disbursement System (MDS), Regular", and "Cash-Modified Disbursement System (MDS), Trust". 14. Prepares the BRS in accordance with the format shown in Appendix 80 of the Government Accounting Manual (GAM), Volume II.
Accountant	15. Prepares JEVs to recognize the necessary adjustments for all items affecting the cash balance per books using the eNGAS system. 16. Reviews and approves the BRS and JEVs.
Accounting Staff-8	17. Submits the BRS per Item 3.4.1.

4.2 Preparation of the Bank Reconciliation Statement for Authorized Government Depository Bank accounts

Responsibility	Activity
Accounting Staff-3	1. Secures/Gathers the BS, GL and SLs of "Cash in Bank" accounts and previous month's BRS. 2. Ensures that the unadjusted balance per book and balance per bank in the previous month's BRS are the current month's beginning book and bank balances, respectively. If not the same, determines the cause of the difference and effects the appropriate adjustments, if necessary. 3. Reviews the previous month's BRS to determine reconciling items needing adjustments by the University which remain unadjusted. 4. Lists or marks the previous months' unadjusted items for inclusion in the current month's reconciling items. 5. Compares the deposits per book with those reflected in the BS

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	6. Compares the checks issued per book with those negotiated as reflected in the BS. 7. Adds to the unadjusted balance per bank, the following: (a) unrecorded deposits or deposit-in-transit; and (b) errors discovered in the BS that understates the bank balance. 8. Subtracts from the unadjusted balance per bank, the following: (a) outstanding checks; and (b) errors in the BS which overstates the bank balance. 9. Calculates the adjusted balance per bank. 10. Adds to the balance of the "Cash in Bank" account per GL: (a) deposits per BS which were not yet recorded in the books; (b) cancelled checks; and, (a) errors discovered in the agency's records that understates the book balance. 11. Subtracts from the balance of the "Cash in Bank" account per GL: (a) returned check deposits; (b) errors in the University's records which overstate the cash balance; and (b) bank charges. 12. Calculates the adjusted balance per books. 13. Prepares the BRS in accordance with the format shown as Appendix 81 in the Government Accounting Manual, Volume II.
Accountant	14. Prepares JEVs to recognize the necessary adjustments for all items affecting the cash balance per books using the eNGAS system. 15. Reviews and approves the BRS and JEVs.
Accounting Staff-8	16. Submits the BRS per Item 3.4.1.

5.0 LIST OF FORMS

- 5.1 Bank Reconciliation Statement (BRS)
- 5.2 Journal Entry Voucher (JEV)